story goes, he induced Chandragupta to be generous to his rival chief. Chanakya himself is said to have handed over the insignia of his own high office to the minister of that rival, whose intelligence and loyalty to his old chief had impressed him greatly. So the story ends not in the bitterness of defeat and humiliation, but in reconciliation and in laying the firm and enduring foundations of a state, which had not only defeated but won over its chief enemy.

The Maurya Empire maintained diplomatic relations with the Greek world, both with Seleucus and his successors and with Ptolemy Pliiladelphus. These relations rested on the solid foundation of mutual commercial interest. Strabo tells us that the Oxus river in central Asia formed a link in an important chain along which Indian goods were carried to Europe by way of the Caspian and the Black Sea. This route was popular in the third century **B.C**. Central Asia then was rich and fertile. More than a thousand years later it began to dry up. The Arthashastra mentions that the king's stud had 'Arabian steeds'!

The Organization of the State

What was this new state like that arose in 321 **B.C.** and covered